Housing Finance
Module -IV

1. Housing Finance: Meaning and Rise in India

Meaning:

Housing is considered a fundamental and essential need for human beings, contributing to a better standard of living, health, and happiness. **Housing finance** is the process that "brings together complex and multi-sector issues that are driven by constantly changing local features, such as a country's legal environment or culture, economic makeup, regulatory environment, or political system." The housing sector is deeply intertwined with macroeconomic stability, contributing significantly to a country's Gross Domestic Product (GDP) and employment. For every Indian rupee invested in housing, INR 0.78 is added to the country's GDP. It also has strong backward and forward linkages to over 250 ancillary industries and is the second largest employer after agriculture.

Rise in India:

Institutional arrangements for housing finance in India have evolved significantly due to the recognized importance of housing in the national economy.

- **Traditional Providers:** Life Insurance Corporation (LIC) has historically provided housing loans to its policyholders, and housing finance companies (HFCs) have been involved in this sector.
- **Establishment of Key Institutions:**
    - In **1977**, the **Housing Development Finance Corporation (HDFC)** was established with the primary goal of providing finance for acquiring homes. HDFC was India's first retail housing finance company and played a crucial role in developing the market.
    - The **Housing and Urban Development Corporation (HUDCO)**, a public sector entity, significantly boosted housing finance in India. HUDCO was incorporated in **1970** as the first government-led initiative focusing on the social aspect of housing and utility provision.
- **Entry of Commercial Banks:** More recently, commercial banks have been permitted to enter this field, further expanding the availability of housing finance. They aggressively entered the market from the late 1990s onwards, shifting it from a seller's to a buyer's market.
- **Insurance Subsidiaries:** The two major insurance institutions (LIC and General Insurance Corporation) have also established their own housing finance subsidiaries.
- **Apex Institution:** A significant step was the establishment of the **National Housing Bank (NHB)** in **1987** as the apex bank in the housing finance sector. It is a wholly owned

subsidiary of the Reserve Bank of India (RBI). Its primary responsibility is to promote and develop specialized financial institutions for resource mobilization and credit extension for housing, especially to help economically weaker sections (EWS). NHB also issues guidelines to all institutions connected with housing and is empowered to borrow in foreign currency.

Policy Evolution:

Historically, Indian governments viewed housing from a social rather than an economic perspective, with policies focused on subsidies.

- A major shift was triggered by the **UN Global Shelter Strategy adopted in November 1988**, which encouraged comprehensive housing programs. This led to India's first National Housing Policy in **1992** (adopted 1994).
- The **Housing and Habitat Policy of 1998** marked a watershed, as the government recognized its role should shift from direct provider to **facilitator**, encouraging private sector capital. This is also reflected in the decline of housing's proportion in total capital expenditure under Five-Year Plans due to this shift.
- The **Millennium Development Goals (2000)**, particularly Goal 7, emphasized "Cities without Slums" and improving the lives of slum dwellers.
- A significant change has also occurred in the **mindset of the Indian consumer**, who was traditionally debt-averse. In recent times, more individuals are open to a credit culture, driving rapid growth in housing loans and other retail finance products.

2. Fixing the Amount of Loan

Several factors are considered crucial when determining the amount of a home loan:

Factors Affecting Loan Agreement:

- **Estimated Property Value:** The assessed value of the property for which the loan is sought.
- **Clear Title Deeds:** The applicant must possess clear title deeds for the property.
- **Loan Period:** The duration for which the loan is required.
- **Source of Income and Earning Capacity:** The borrower's ability to earn and repay the loan.
- **Other Unpaid Loans:** Any existing outstanding loans at the time of application.

Factors Affecting Interest Burden:

- **Loan Period:** The duration of the loan.
- **Amount of Loan:** The principal amount borrowed.

- **Borrower's Repayment Capacity:** The ability of the borrower to make regular payments.
- **Financier's Cost of Providing Funds:** The cost incurred by the lending institution to acquire the funds.

Mode of Repayment:

- The most common method is **Equated Monthly Installment (EMI)**, where borrowers pay equal monthly installments.
- EMI is calculated based on the loan amount, interest rate, and repayment period.
- However, if a borrower anticipates a reasonable increase in future income, the installments can be adjusted accordingly.

Fees:
Housing Finance Companies (HFCs) typically charge an **administrative fee of 1%** of the loan amount and **processing fees ranging from 0.5% to 1%** of the loan amount.

Loan-to-Value (LTV) Ratios:

In a competitive environment, some banks offered LTVs as high as 90-95%, and a few even over 100%. Regulators intervened to curb these imprudent lending practices, as they led to increased non-performing assets. For example, HDFC, a conservative lender, maintains a maximum LTV of 85%, with its portfolio average in the 65-68% range.

3. Repricing of a Loan

Repricing a loan, also known as refinancing, involves paying off an existing loan with the proceeds from a new loan, usually of the same size, and using the same property as collateral.

Decision Factors:

The decision to refinance is made by weighing the potential savings in interest against the fees associated with refinancing. A difficult part of this calculation is predicting the future value of upfront money compared to the future savings.

Other Reasons for Refinancing:

- Reducing the term of a longer mortgage.
- Switching between a fixed-rate and an adjustable-rate mortgage.

Impact of Prepayment Fees:

If the existing mortgage has prepayment fees, refinancing becomes less favorable due to the increased cost to the borrower. Historically, during periods of decreasing interest rates, many high-cost fixed-rate loans were refinanced by converting them to floating rates for a nominal fee. HDFC, for instance, maintains a prepayment charge of 2% of the outstanding balance for fixed-rate loans or if a loan is refinanced on commercial terms. While some banks initially waived these charges to gain market share, most lenders now levy prepayment charges on fixed-rate loans but generally not on floating rates.

4. Floating vs. Fixed Rate

In home loans, two main types of interest rates can be charged: floating (adjustable rate mortgage) and fixed rate.

Fixed Interest Rate:

- Repayment occurs in **fixed, equal instalments over the entire period of the loan**. The interest rate does not change with market fluctuations. In the early part of the loan tenure, the majority of monthly payments service the interest, with the principal being served in the later parts.
- **Benefits:**
  - Interest rate remains constant regardless of market conditions.
  - Excellent for budgeting and predictable repayment.
  - Provides a sense of certainty and security.
- **Drawbacks:**
  - Typically **1-2.5 percentage points higher** than floating rates.
  - Borrower does not benefit if market interest rates decrease.
  - Must verify whether the fixed rate applies for the entire tenure or only a few years.
- Overall, Fixed rates are considered as better if economic conditions indicate rising interest rates.

Floating Interest Rate:

Rate **varies with market conditions**, tied to a base rate plus a floating element. Most home loan borrowers in India opt for floating rates, even when rates rise.

- **Benefits:**
  - Generally **cheaper than fixed rates**.
  - Offers potential savings if interest rates decline.

- **Drawbacks:**
    - Uneven monthly instalments make budgeting difficult.
    - Hikes in floating rates can significantly increase EMIs.

The choice depends on the borrower's priorities. Fixed rates provide certainty, while floating rates can be cheaper over time. Conversion options and combination loans are available to hedge interest rate risk.

5. Practical Problems on Housing Finance

India faces several challenges in its housing finance sector:

1. **Housing Shortage and Urbanization:** Severe shortage due to population growth, urbanization, and poverty. Official estimate (1991 Census) of shortage was 19.4 million units; current unofficial estimates exceed 40 million units. Housing completions are below UN-recommended levels.
2. **Reluctance to Lend to Low-Income Households:** High servicing costs, irregular income, and lack of collateral discourage HFIs.
3. **Archaic Legal Framework and Restrictive Laws:** Over 100 laws govern real estate, many outdated.
    1. **Urban Land (Ceiling and Regulation) Act 1976:** Intended equitable land distribution, but failed and led to inefficiency.
    2. **Rent Control:** Led to withdrawal of rental housing, dilapidated buildings, and reduced municipal revenue.
    3. **Planning and Development Control Regulations:** Limited and uncoordinated planning, restrictive FSI.
    4. **Agricultural Land Restrictions:** Conversion restrictions hinder urban expansion.
4. **High Transaction Costs:** Stamp duties up to 15% increase grey markets and reduce transparency.
5. **Lack of Clear Land Titles:** Causes disputes, litigation, and delays; computerization of records recommended but not implemented.
6. **Fragmented Market and Tedious Approvals:** Over 70% of units constructed by informal sector; multiple approvals required.
7. **Lack of Reliable Data:** Hinders economic analysis; RESIDEX developed by NHB to track prices.
8. **Low Mortgage Penetration:** Only 4% of GDP; formal sector covers 25% of total capital expenditure.
9. **Asset Quality and Foreclosure:** SARFAESI Act 2002 improved recovery and reduced litigation.
10. **Regulatory Duality and Arbitrage:** Dual regulation by RBI and NHB creates conflicts.

11. **Funding Issues:** Difficult to raise low-cost long-term funds; pension funds largely inaccessible.
12. **Frauds in Housing Finance:** Various fraudulent practices; NHB set up 'Fraud Management Cell'.

6. Mortgage Finance

Early Development

Mortgage finance in India is closely linked to the country's **planned economic development** under the Five-Year Plans. In the initial years (1950s and 1960s), housing was viewed primarily as a **social welfare activity** rather than an economic driver.

- The **Fourth Five-Year Plan (1969–1974)** gave an important push by encouraging **private and cooperative housing**, recognizing that the state alone could not meet the rising demand.
- During this period, **cooperative housing societies** began emerging, where groups of individuals pooled resources to purchase land and construct houses.

Example: In Maharashtra and Gujarat, cooperative housing societies flourished in the 1970s, where middle-class families pooled resources, bought land, and built apartment complexes. These societies operated with mutual trust and credit pooling, setting the stage for a more formal mortgage market.

Formal System Growth

The 1970s and 1980s witnessed the establishment of specialized institutions to provide **formal housing finance**:

- **HUDCO (1970):** Created to support housing for low-income and economically weaker sections, and to finance urban infrastructure. HUDCO gave bulk loans to state agencies and housing boards.
- **HDFC (1977):** India's first retail-focused Housing Finance Company. It pioneered **long-term mortgage lending to individuals**, with a structured system of loan appraisal and repayment.
- **NHB (1988):** Established as the apex housing finance institution. It refinanced HFCs, promoted new housing finance companies, and acted as a regulator (till RBI took over in 2019).

Example: A salaried employee in Delhi in the 1980s could approach HDFC for a home loan with a 10–15 year tenure — something previously unavailable. This made home ownership

possible for middle-class families who otherwise relied only on personal savings or informal borrowing.

Role of Banks

Until the 1980s, **commercial banks had minimal exposure** to housing loans. RBI intervention changed this:

- RBI began **directing credit** to the housing sector as part of its social banking agenda.
- By the **1990s**, housing loans were officially recognized as part of **priority sector lending** (up to a certain loan limit).
- This encouraged banks to start lending for home purchase, improvement, and construction.

Example: A middle-income family in Chennai during the 1990s could approach Indian Bank or SBI for a home loan under priority sector norms, which carried lower interest and longer repayment terms.

Market Transformation (Late 1990s Onwards)

The **economic liberalization of the 1990s** and financial sector reforms transformed housing finance into a highly competitive market.

- Commercial banks aggressively entered mortgage lending in the late 1990s and early 2000s.
- The market shifted from a **seller's market** (limited options, high interest rates) to a **buyer's market**, where borrowers had multiple choices and negotiating power.
- Competition drove down interest rates and expanded loan availability across income segments.

Example: By the early 2000s, borrowers in Bangalore could choose between SBI, ICICI Bank, HDFC, LIC Housing Finance, and many others, all offering competitive interest rates and quick processing — a drastic change from the single-option scenario of the 1980s.

Loan Structures and Affordability

The evolution of mortgage products made home ownership more affordable:

- Loan maturities extended from **10 years (1980s)** to **15–20 years (2000s)**, reducing EMI burdens.
- New **repayment options** were introduced, including step-up repayment (lower EMIs initially, higher later as income grows) and flexible prepayment facilities.

- Borrowers could also get **loans for home improvement, extension, and repairs**, not just purchase.

Example: A young IT professional in Pune in 2005 could take a 20-year home loan with a small EMI (linked to expected salary growth) instead of waiting 10 years to accumulate savings. This increased affordability and demand for housing.

Tax Benefits

Government tax policies further boosted mortgage demand:

- Under **Section 24(b)** of the Income Tax Act, borrowers can claim deductions on **home loan interest** (up to ₹2 lakh per year).
- Under **Section 80C**, deductions on **principal repayment** (up to ₹1.5 lakh) are allowed.
- These provisions reduce the **effective cost of borrowing** and incentivize home ownership.

Example: A borrower with an EMI of ₹25,000 per month (₹3 lakh per year) may get tax savings of nearly ₹60,000–70,000, making the real cost of the loan significantly lower.

7. Institutions and Mechanisms

National Housing Bank (NHB):

The NHB was established in **1988 through the National Housing Bank Act, 1987** as a wholly owned subsidiary of the Reserve Bank of India. Its initial mandate was to act as the apex-level financial institution for the housing sector by promoting housing finance institutions, providing refinance facilities, and regulating Housing Finance Companies (HFCs). In its early years, NHB played a strong developmental role, enabling HFCs to expand credit access and building a formal housing finance structure. Over time, its dual role of regulator and promoter was criticized for potential conflicts of interest. As the financial system matured, regulatory oversight of HFCs gradually shifted to the RBI (2019 onwards), leaving NHB to focus primarily on refinance, development finance, and capacity building in the housing sector.

Housing Finance Companies (HFCs):

HFCs emerged in the late **1970s and 1980s** as specialized institutions to provide retail housing loans, with Housing Development Finance Corporation (HDFC) being the pioneer in 1977. Their growth accelerated after the establishment of NHB in 1988, which provided refinance and regulatory support. Initially, HFCs served salaried middle-class households in urban centers, but gradually expanded to semi-urban and rural borrowers. Over the years, competition from commercial banks has forced HFCs to innovate with new products, flexible repayment

structures, and outreach strategies. Post-2000, many HFCs became systemically important, and after the 2018 IL&FS crisis, their regulation was tightened under RBI to ensure financial stability.

Commercial Banks:

Commercial banks entered housing finance only in a significant way during the **1990s economic liberalization**, when RBI included housing under priority sector lending up to a specific loan size. With their large branch networks and lower cost of funds, they rapidly expanded their market share, often competing with HFCs. In the 2000s, banks became the dominant players in housing finance, especially for middle- and high-income groups, while also being mandated to support affordable housing. Over time, product innovations such as floating-rate loans and longer tenure loans became common due to their entry. Today, commercial banks and HFCs together form the backbone of India's housing finance sector.

Housing and Urban Development Corporation (HUDCO):

HUDCO was established in **1970** as a public-sector financial institution to address India's housing shortage, particularly for lower-income households. Initially, it focused on financing low-cost housing and urban infrastructure projects such as water supply, drainage, and slum upgrading. Through the 1980s and 1990s, HUDCO became the primary government channel for supporting schemes like the Urban Basic Services Programme and later VAMBAY (Valmiki Ambedkar Awas Yojana). Over time, its mandate expanded to cover integrated urban infrastructure development, but housing for the Economically Weaker Sections (EWS) and Low-Income Groups (LIG) has remained its core focus.

LIC and GIC:

The **Life Insurance Corporation (LIC)** and **General Insurance Corporation (GIC)** have historically been significant sources of long-term funds in India due to their insurance operations. As part of their statutory investments, they allocated resources for housing, beginning in the 1970s and 1980s. Recognizing the growing need for direct participation, LIC established **LIC Housing Finance Limited in 1989**, and GIC set up **GIC Housing Finance Limited in 1989** as subsidiaries dedicated to housing finance. These institutions evolved into key players, providing long-tenure funding, stabilizing the sector, and catering particularly to middle-income borrowers.

Cooperative Banks:

Cooperative banks, especially **urban cooperative banks (UCBs)**, have a much older presence, with many institutions dating back to the early **20th century**. Their involvement in housing finance expanded gradually after independence, as they catered to the credit needs of local

communities, particularly lower- and middle-income households. Cooperative banks evolved as community-based institutions with localized knowledge and strong ties to members, allowing them to provide smaller housing loans. While their role in housing finance has been overshadowed by HFCs and commercial banks since the 1990s, they continue to be important in semi-urban and rural contexts due to their accessibility and trust within local communities.

8. Debt Securitization in India

Debt securitization involves pooling loans (like mortgages, vehicle loans, or corporate debt) and converting them into marketable securities that can be sold to investors. In India, this concept is relatively new: the first pilot mortgage-backed security (MBS) was launched in 2000. Initially, growth was slow due to limited awareness, low investor interest, and unclear regulations.

Obstacles

The market faced several challenges:

- Lack of standardized documentation for securitization deals.
- High stamp duties on transactions, making them expensive.
- Uncertainty in taxation treatment.
- MBSs were not explicitly recognized under Indian securities laws, reducing acceptability among institutional investors.

Regulatory Guidelines

To address these challenges, the Reserve Bank of India (RBI) issued guidelines in 2006. These guidelines:

- Defined “true sale” criteria to ensure loans sold are legally transferred.
- Allowed for credit enhancement mechanisms to reduce investor risk.
- Set capital adequacy requirements for the institutions originating these loans.

While these rules increased transparency, the requirement for capital charges on credit enhancements made securitization costlier for banks and other institutions.

Secondary Market

A significant limitation is the lack of a strong secondary market for MBS. A vibrant secondary market would allow smaller housing finance companies (HFCs) to sell their loan portfolios, release capital, and improve liquidity, enabling them to lend more to underserved borrowers.

Risk Weighting

Banks investing in MBSs must follow risk-weighting norms, typically between 75 to 100 percent, depending on credit ratings. Higher risk weights discourage large-scale investment, further slowing the development of India’s securitization market.

In short, while debt securitization in India has a regulatory framework and potential for growth, challenges like high costs, lack of standardization, limited market liquidity, and risk-weighting norms have slowed its adoption.

Example: Housing Loan Securitization

1. **Originating Loans:** A housing finance company (HFC) like HDFC lends money to 1,000 homebuyers across India. Each borrower repays a fixed monthly mortgage.
2. **Pooling Loans:** The HFC pools these 1,000 home loans together, creating a total loan portfolio of ₹100 crore.
3. **Converting to Securities:** The HFC sells this pool of loans to a special purpose vehicle (SPV), which converts the loan repayments into mortgage-backed securities (MBS).
4. **Selling to Investors:** These MBS are then sold to banks, mutual funds, or insurance companies as investment instruments. Investors receive periodic payments derived from the borrowers' mortgage repayments.
5. **Regulatory Compliance:** The transaction follows RBI guidelines ensuring a "true sale" of loans, credit enhancements to reduce risk for investors, and capital adequacy norms for the HFC.
6. **Challenges Faced:**
    - High stamp duty and tax uncertainties make such deals expensive.
    - Limited secondary market means selling MBS is not easy for small HFCs.
    - Banks investing in these MBS must apply high risk weights, making them cautious.

Outcome: The HFC receives immediate liquidity from selling the loan portfolio, which allows it to issue new home loans, while investors earn returns from mortgage repayments. However, the adoption of such securitization remains limited due to costs and market barriers.

9. Financing for Social and Rental Housing

- **Social Housing:** A large share of India's population, particularly the urban poor and informal workers, continues to lack access to formal housing finance. Traditional lending norms often exclude these groups due to lack of documented income or collateral.
- **Government Initiatives:** HUDCO and schemes like Valmiki Ambedkar Awas Yojana (VAMBAY), Indira Awaas Yojana (IAY), the Two Million Housing Programme, and the Targeted Public Provision (TPP) have aimed to provide subsidized housing loans and direct construction support.
- **Bilateral Assistance:** International development partners such as DFID (UK), KfW (Germany), and JBIC (Japan) have extended concessional credit and technical support to strengthen India's housing finance and social housing delivery mechanisms.
- **Rental Housing:** Rental housing has historically been constrained in India due to stringent rent control laws, which discouraged private investment in rental markets. As a result, slum proliferation became widespread in urban centers. Efforts at model rental housing legislation have been attempted, but state-level adoption has been limited,

leaving rental housing underdeveloped despite growing demand among migrant workers and low-income households.

10. Small Loans; Shelter Microfinance, Community Funds

i. Informal Sector

These are lenders outside the formal banking or financial system — friends, family, moneylenders, local shopkeepers — who lend money without formal paperwork or banking rules.

Characteristics & trade-offs:

- Loans are small, short term, and often unsecured (no formal collateral).
- Repayment terms are usually flexible (daily, weekly, etc.).
- Interest rates are high, reflecting the risk and lack of regulation.
- Accessibility is high — many poor households rely on them because formal lenders reject them due to lack of credit history.

Example:

Suppose a family wants to repair their mud-and-thatch roof before monsoon. They borrow ₹5,000 from a local moneylender, promising to repay in installments over 2–3 months. There's no formal contract, but in practice, the moneylender may visit if payments are delayed, or roll over loans with added interest.

Limitations:

Because risks are high and no formal backing exists, these loans often come with exploitation, usurious interest, or pressure. Over time, they may trap borrowers in cycles of debt.

ii. Semi-Formal Institutions

These lie between fully informal and fully formal systems. Examples are chit funds, pawnbrokers, community savings associations, or local finance cooperatives.

Chit funds: A group of people pool money monthly; at each meeting one member wins the pooled amount via auction or lottery. The winning member uses it (could be for housing repairs), and then contributes again.

Pawnbrokers: People pledge or deposit an asset (jewelry, tools) as collateral, get a loan, and reclaim the collateral after repayment plus interest.

In a small town, 20 families agree to contribute ₹1,000 each every month into a chit fund. At each meeting, one family takes the pooled ₹20,000 (less the operator's share). That family uses the money to fix part of their house. In subsequent months, other families will get their turn.

Limitations:

- The poorest may be excluded because minimum contributions are still a burden.
- Risk of fraud or mismanagement unless regulatory oversight or trust exists.
- Asset collateral (for pawnbroker) excludes those who don't own valuables.

iii. Public Sector (LIG / EWS Focus)

State or central government–backed institutions and schemes that provide subsidized or supported housing loans to Low Income Groups (LIG) and Economically Weaker Sections (EWS).

- These institutions provide refinance support to lenders or directly lend at subsidized interest rates.
- They may encourage incremental housing or self-construction (building house gradually as money permits).
- They also offer subsidies or guarantees to reduce risk.

Examples in India:

- SPHM (Swarna Pragati Housing Microfinance): Founded ~2011. It gives small, incremental housing loans in rural areas for house improvements, new rooms, etc.
- NHB-IFC housing microfinance efforts: NHB and IFC (International Finance Corporation) collaborated to promote "housing microfinance" and develop toolkits for small housing loans in India.

Many public banks and agencies allow priority sector housing loans for lower income groups with relaxed norms (smaller loan sizes, longer terms).

These loans help those who cannot access full-fledged mortgage products. They fill the "gap" in housing finance between informal sources and formal housing loans.

iv. **Private Formal Sector**

Commercial banks, non-bank financial institutions (NBFCs), and private housing finance companies offering housing loans using formal rules, contracts, collateral, credit scoring.

- They tend to lend to borrowers with stable incomes, good credit history, and legal titles to property.
- Use formal documentation, legal enforceability, and structured repayment schedules.

- Some may try innovations like lower ticket-size loans, co-borrowers, or partial collateral to cover lower-income segments.

Example:

A private housing finance company might issue a ₹2 lakh "home improvement" loan to a middle-income household, but will require proof of income, existing bank statements, and title to the property.

Challenges (for the poor):

- Many poor households lack legal land titles, which disqualifies them.
- They may not have documented income or credit history.
- Mortgage insurance is seldom available, so lenders hesitate to lend to them.

v. NGOs and Community-Based Organizations (CBOs)

Nonprofits or grassroots organizations working in local communities to facilitate micro-shelter finance using local knowledge, social networks, and trust.

- They often know the community and can assess risk based on relationships and reputation.
- They leverage group responsibility / peer pressure for timely repayment.
- They offer technical assistance, help with design, construction, and monitoring, not just money.

Examples:

- Mahila Milan (Mumbai): A women's collective of pavement dwellers that provides small loans to members with minimal interest (called "service charge") and strong social support. They sometimes write off loans if hardship—but encourage repayment via mutual accountability.
- MicroBuild Fund (Habitat): A global fund that supports MFIs and NGOs to offer housing microfinance. In India, MicroBuild works with intermediaries to deliver small shelter loans.
- SPARC / SEWA / CHF projects in India: In slum upgrading pilots, NGOs have worked with banks to provide housing microfinance (MFH) linked with subsidies, credit guarantees, and community mobilization. For example, in Nagpur, SEWA and CHF have tried combining MFH with government housing subsidies.
- Housing Microfinance pilots supported by NHB-IFC toolkit: Many microfinance institutions (MFIs) were encouraged to launch small housing loans to low-income urban households under standardized templates.

Strengths & limitations:

- **Strength:** High repayment rates due to social cohesion, flexibility, and local oversight.
- **Weakness:** Limited scale, dependency on subsidies or donor funding, challenges in raising capital, and risks if scaling up too quickly.